ADVANCED MICRO DEVICES, INC.

CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Millions except per share amounts and percentages) (Unaudited)

	Three Months Ended			Nine Months Ended	
	September 26, 2026	June 27, 2026	September 27, 2025	September 26, 2026	September 27, 2025
Net revenue	$ 13,377	$ 11,536	$ 9,246	$ 35,166	$ 24,369
Cost of sales	5,910	5,073	4,206	15,559	12,023
Amortization of acquisition-related intangibles	257	260	260	778	771
Total cost of sales	6,167	5,333	4,466	16,337	12,794
Gross profit	7,210	6,203	4,780	18,829	11,575
Gross margin	54%	54%	52%	54%	47%
Research and development	2,803	2,528	2,139	7,728	5,761
Marketing, general and administrative	1,298	1,401	1,069	3,952	2,946
Amortization of acquisition-related intangibles	277	284	302	851	926
Total operating expenses	4,378	4,213	3,510	12,531	9,633
Operating income	2,832	1,990	1,270	6,298	1,942
Interest expense	(62)	(37)	(37)	(136)	(95)
Other income (expense), net	(902)	598	82	(139)	219
Income from continuing operations before income taxes and equity income	1,868	2,551	1,315	6,023	2,066
Income tax provision (benefit)	(555)	252	153	(65)	(558)
Equity income in investee	5	6	10	17	25
Income from continuing operations, net of tax	2,428	2,305	1,172	6,105	2,649
Income (loss) from discontinued operations, net of tax	-	(8)	71	3	175
Net income	$ 2,428	$ 2,297	$ 1,243	$ 6,108	$ 2,824
Earnings per share:					
Basic earnings from continuing operations	$ 1.48	$ 1.41	$ 0.72	$ 3.74	$ 1.63
Basic earnings from discontinued operations	$ -	$ (0.01)	$ 0.04	$ -	$ 0.11
Basic earnings per share	$ 1.48	$ 1.40	$ 0.76	$ 3.74	$ 1.74
Diluted earnings from continuing operations	$ 1.46	$ 1.39	$ 0.71	$ 3.69	$ 1.62
Diluted earnings from discontinued operations	$ -	$ (0.01)	$ 0.04	$ -	$ 0.11
Diluted earnings per share	$ 1.46	$ 1.38	$ 0.75	$ 3.69	$ 1.73
Shares used in per share calculation					
Basic	1,636	1,632	1,626	1,633	1,623
Diluted	1,661	1,659	1,641	1,657	1,632

ADVANCED MICRO DEVICES, INC.

CONDENSED CONSOLIDATED BALANCE SHEETS

(Millions)

	September 26, 2026	December 27, 2025
	(Unaudited)	
ASSETS		
Current assets:		
Cash and cash equivalents	$ 7,404	$ 5,539
Short-term investments	8,372	5,013
Accounts receivable, net	9,209	6,315
Inventories	11,463	7,920
Prepaid expenses and other current assets	3,023	2,160
Total current assets	39,471	26,947
Property and equipment, net	3,929	2,312
Goodwill	25,470	25,126
Acquisition-related intangibles, net	15,101	16,705
Deferred tax assets	821	384
Other non-current assets	10,020	5,452
Total Assets	$ 94,812	$ 76,926
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	$ 7,756	$ 2,929
Accrued liabilities	6,231	5,250
Current portion of long-term debt, net	-	874
Other current liabilities	499	402
Total current liabilities	14,486	9,455
Long-term debt	7,079	2,348
Long-term operating lease liabilities	1,837	625
Deferred tax liabilities	295	313
Other long-term liabilities	2,726	1,186
Stockholders' equity:		
Capital stock:		
Common stock, par value $0.01	16	17
Additional paid-in capital	61,769	63,365
Treasury stock, at cost	-	(7,079)
Retained earnings	6,720	6,699
Accumulated other comprehensive loss	(116)	(3)
Total stockholders' equity	68,389	62,999
Total Liabilities and Stockholders' Equity	$ 94,812	$ 76,926

ADVANCED MICRO DEVICES, INC.

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(Millions) (Unaudited)

	Three Months Ended		Nine Months Ended	
	September 26, 2026	September 27, 2025	September 26, 2026	September 27, 2025
Cash flows from operating activities:				
Net income	$ 2,428	$ 1,243	$ 6,108	$ 2,824
(Income) loss from discontinued operations, net of tax	-	(71)	(3)	(175)
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation and amortization	239	192	666	556
Amortization of acquisition-related intangibles	534	562	1,629	1,697
Stock-based compensation	523	419	1,513	1,152
Gains from long-term investments, net	(67)	(25)	(616)	(61)
Non-cash impact of warrants issued to customers, net	1,179	-	1,179	-
Deferred income taxes	(321)	218	(427)	18
Recovery of inventory loss at contract manufacturer	-	(67)	-	(67)
Other	44	25	105	90
Changes in operating assets and liabilities:				
Accounts receivable, net	(1,928)	(1,085)	(2,894)	(7)
Inventories	(2,995)	(636)	(3,543)	(1,579)
Prepaid expenses and other assets	(1,070)	118	(2,061)	(259)
Accounts payable	2,313	451	4,483	998
Accrued and other liabilities	323	444	384	(998)
Net cash provided by operating activities of continuing operations	1,202	1,788	6,523	4,189
Net cash provided by operating activities of discontinued operations	-	371	-	920
Net cash provided by operating activities	1,202	2,159	6,523	5,109
Cash flows from investing activities:				
Purchases of property and equipment	(648)	(258)	(1,845)	(752)
Purchases of short-term investments	(2,199)	(1,314)	(6,754)	(2,110)
Proceeds from maturity of short-term investments	1,777	299	3,044	982
Proceeds from sale of short-term investments	80	18	366	66
Purchases of long-term investments	(238)	(74)	(1,082)	(432)
Acquisitions, net of cash acquired	-	-	(129)	(1,716)
Other	(15)	-	(15)	-
Net cash used in investing activities of continuing operations	(1,243)	(1,329)	(6,415)	(3,962)
Purchases of property and equipment	-	(8)	-	(30)
Payment for working capital adjustment on divestiture	-	-	(243)	-
Net cash used in investing activities of discontinued operations	-	(8)	(243)	(30)
Net cash used in investing activities	(1,243)	(1,337)	(6,658)	(3,992)
Cash flows from financing activities:				
Proceeds from debt and commercial paper issuance, net of issuance costs	4,726	-	4,726	2,441
Repayment of debt and commercial paper	(875)	-	(875)	(950)
Proceeds from sales of common stock through employee equity plans	5	10	210	169
Repurchases of common stock	-	(89)	(221)	(1,316)
Stock repurchases for tax withholding on employee equity plans	(1,495)	(371)	(1,836)	(447)
Other	(13)	-	(21)	-
Net cash provided by (used in) financing activities	2,348	(450)	1,983	(103)
Net increase in cash, cash equivalents and restricted cash	2,307	372	1,848	1,014
Cash, cash equivalents and restricted cash at beginning of period	5,097	4,453	5,556	3,811
Cash, cash equivalents and restricted cash at end of period	$ 7,404	$ 4,825	$ 7,404	$ 4,825
Reconciliation of cash, cash equivalents and restricted cash				
Cash and cash equivalents	$ 7,404	$ 4,808	$ 7,404	$ 4,808
Restricted cash included in Prepaid expenses and other current assets	-	17	-	17
Cash, cash equivalents and restricted cash at end of period	$ 7,404	$ 4,825	$ 7,404	$ 4,825

ADVANCED MICRO DEVICES, INC.

SELECTED CORPORATE DATA

(Millions) (Unaudited)

	Three Months Ended			Nine Months Ended	
	September 26, 2026	**June 27, 2026**	**September 27, 2025**	**September 26, 2026**	**September 27, 2025**
Segment and Disaggregated Revenue Information [1]					
Net Revenue:					
Data Center Segment	$ 8,546	$ 6,718	$ 4,341	$ 21,039	$ 11,255
Client and Gaming Segment					
Client	2,949	3,062	2,750	8,896	7,543
Gaming	773	779	1,298	2,272	3,067
Total Client and Gaming	3,722	3,841	4,048	11,168	10,610
Embedded Segment	1,109	977	857	2,959	2,504
Total net revenue	$ 13,377	$ 11,536	$ 9,246	$ 35,166	$ 24,369
Operating Income (Loss):					
Data Center Segment	$ 2,882	$ 2,103	$ 1,074	$ 6,584	$ 1,851
Client and Gaming Segment	573	582	867	1,730	2,130
Embedded Segment	453	386	283	1,177	886
All other	(1,076)	(1,081)	(954)	(3,193)	(2,925)
Total operating income	$ 2,832	$ 1,990	$ 1,270	$ 6,298	$ 1,942
Other Data					
Capital expenditures	$ 648	$ 808	$ 258	$ 1,845	$ 752
Adjusted EBITDA [2]	$ 4,162	$ 3,315	$ 2,430	$ 10,223	$ 5,470
Cash, cash equivalents and short-term investments	$ 15,776	$ 13,111	$ 7,243	$ 15,776	$ 7,243
Free cash flow [3]	$ 554	$ 1,558	$ 1,530	$ 4,678	$ 3,437
Total assets	$ 94,812	$ 84,464	$ 76,891	$ 94,812	$ 76,891
Total debt	$ 7,079	$ 3,226	$ 3,220	$ 7,079	$ 3,220

See footnotes on the next page

(1) The Company operates as three operating segments, Data Center, Client and Gaming, and Embedded segments.

The Data Center segment primarily includes Artificial Intelligence (AI) accelerators, microprocessors (CPUs) for servers, graphics processing units (GPUs), accelerated processing units (APUs), data processing units (DPUs), AI Network Interface Cards (AI NICs), Field Programmable Gate Arrays (FPGAs) and adaptive System-on-Chip (SoC) products for data centers.

The Client and Gaming segment primarily includes CPUs, APUs, chipsets for desktops and notebooks, discrete GPUs, and semi-custom SoC products and development services.

The Embedded segment primarily includes embedded CPUs, APUs, FPGAs, System on Modules (SOMs), and adaptive SoC products.

From time to time, the Company may also sell or license portions of its IP portfolio.

All Other category primarily includes certain expenses and credits that are not allocated to any of the operating segments, such as amortization of acquisition-related intangibles, employee stock-based compensation expense, and acquisition-related and other costs.

(2) **Reconciliation of GAAP Net Income to Adjusted EBITDA**

	Three Months Ended			Nine Months Ended	
(Millions) (Unaudited)	**September 26, 2026**	**June 27, 2026**	**September 27, 2025**	**September 26, 2026**	**September 27, 2025**
GAAP net income	$ 2,428	$ 2,297	$ 1,243	$ 6,108	$ 2,824
Interest expense	62	37	37	136	95
Other (income) expense, net	902	(598)	(82)	139	(219)
Income tax provision (benefit)	(555)	252	153	(65)	(558)
Equity income in investee	(5)	(6)	(10)	(17)	(25)
Stock-based compensation	523	503	419	1,513	1,152
Depreciation and amortization	239	221	192	666	556
Amortization of acquisition-related intangibles	534	544	562	1,629	1,697
Acquisition-related and other costs	27	40	42	93	178
Recovery of inventory loss at contract manufacturer	-	-	(67)	-	(67)
Loss contingency on legal matters	7	17	12	24	12
Loss (income) from discontinued operations, net of tax	-	8	(71)	(3)	(175)
Adjusted EBITDA	$ 4,162	$ 3,315	$ 2,430	$ 10,223	$ 5,470

The Company presents “Adjusted EBITDA” as a supplemental measure of its performance. Adjusted EBITDA for the Company is determined by adjusting GAAP net income for interest expense, other (income) expense, net, income tax provision (benefit), equity income in investee, stock-based compensation, depreciation and amortization expense, amortization of acquisition-related intangibles, acquisition-related and other costs, recovery of inventory loss at contract manufacturer, loss contingency on legal matters, and loss (income) from discontinued operations, net of tax. The Company calculates and presents Adjusted EBITDA because management believes it is of importance to investors and lenders in relation to its overall capital structure and its ability to borrow additional funds. In addition, the Company presents Adjusted EBITDA because it believes this measure assists investors in comparing its performance across reporting periods on a consistent basis by excluding items that the Company does not believe are indicative of its core operating performance. The Company’s calculation of Adjusted EBITDA may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view Adjusted EBITDA as an alternative to the GAAP operating measure of net income or GAAP liquidity measures of cash flows from operating, investing and financing activities. In addition, Adjusted EBITDA does not take into account changes in certain assets and liabilities that can affect cash flows.

(3) **Reconciliation of GAAP Net Cash Provided by Operating Activities of Continuing Operations to Free Cash Flow**

	Three Months Ended			Nine Months Ended	
(Millions except percentages) (Unaudited)	**September 26, 2026**	**June 27, 2026**	**September 27, 2025**	**September 26, 2026**	**September 27, 2025**
GAAP net cash provided by operating activities of continuing operations	$ 1,202	$ 2,366	$ 1,788	$ 6,523	$ 4,189
Operating cash flow margin % from continuing operations	*9%*	*21%*	*19%*	*19%*	*17%*
Purchases of property and equipment	(648)	(808)	(258)	(1,845)	(752)
Free cash flow	$ 554	$ 1,558	$ 1,530	$ 4,678	$ 3,437
Free cash flow margin %	*4%*	*14%*	*17%*	*13%*	*14%*

The Company also presents free cash flow as a supplemental Non-GAAP measure of its performance. Free cash flow is determined by adjusting GAAP net cash provided by operating activities of continuing operations for capital expenditures, and free cash flow margin % is free cash flow expressed as a percentage of the Company's net revenue. The Company calculates and communicates free cash flow in the financial earnings press release because management believes it is of importance to investors to understand the nature of these cash flows. The Company’s calculation of free cash flow may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view free cash flow as an alternative to GAAP liquidity measures of cash flows from operating activities.

The Company has provided reconciliations within the earnings press release of these Non-GAAP financial measures to the most directly comparable GAAP financial measures.

RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES

(in millions, except per share data and percentages) (Unaudited)

	Three Months Ended		
	September 26, 2026	June 27, 2026	September 27, 2025
GAAP gross profit	**$ 7,210**	**$ 6,203**	**$ 4,780**
GAAP gross margin	***54%***	***54%***	***52%***
Stock-based compensation	9	8	7
Amortization of acquisition-related intangibles	257	260	260
Recovery of inventory loss at contract manufacturer [(1)]	-	-	(67)
Loss contingency on legal matters	7	17	12
Non-GAAP gross profit	**$ 7,483**	**$ 6,488**	**$ 4,992**
Non-GAAP gross margin	***56%***	***56%***	***54%***
GAAP operating expenses	**$ 4,378**	**$ 4,213**	**$ 3,510**
GAAP operating expenses/revenue %	***33%***	***37%***	***38%***
Stock-based compensation	514	495	412
Amortization of acquisition-related intangibles	277	284	302
Acquisition-related and other costs [(2)]	27	40	42
Non-GAAP operating expenses	**$ 3,560**	**$ 3,394**	**$ 2,754**
Non-GAAP operating expenses/revenue %	***27%***	***29%***	***30%***
GAAP operating income	**$ 2,832**	**$ 1,990**	**$ 1,270**
GAAP operating margin	***21%***	***17%***	***14%***
Stock-based compensation	523	503	419
Amortization of acquisition-related intangibles	534	544	562
Recovery of inventory loss at contract manufacturer [(1)]	-	-	(67)
Acquisition-related and other costs [(2)]	27	40	42
Loss contingency on legal matters	7	17	12
Non-GAAP operating income	**$ 3,923**	**$ 3,094**	**$ 2,238**
Non-GAAP operating margin	***29%***	***27%***	***24%***

	Three Months Ended					
	September 26, 2026		June 27, 2026		September 27, 2025	
GAAP net income / earnings per share	**$ 2,428**	**$ 1.46**	**$ 2,297**	**$ 1.38**	**$ 1,243**	**$ 0.75**
Stock-based compensation	523	0.31	503	0.30	419	0.26
Amortization of acquisition-related intangibles	534	0.32	544	0.33	562	0.34
Recovery of inventory loss at contract manufacturer [(1)]	-	-	-	-	(67)	(0.04)
Acquisition-related and other costs [(2)]	27	0.02	41	0.02	43	0.03
Loss contingency on legal matters	7	-	17	0.01	12	0.01
(Gains) loss on long-term investments, net	(67)	(0.04)	(483)	(0.29)	(26)	(0.02)
Change in fair value of warrant liability [(3)]	1,097	0.66	-	-	-	-
Equity income in investee	(5)	-	(6)	-	(10)	-
Income tax provision	(1,073)	(0.64)	(161)	(0.10)	(140)	(0.09)
Loss (income) from discontinued operations, net of tax [(4)]	-	-	8	0.01	(71)	(0.04)
Non-GAAP net income / earnings per share	**$ 3,471**	**$ 2.09**	**$ 2,760**	**$ 1.66**	**$ 1,965**	**$ 1.20**

[(1)] Recovery of inventory loss at contract manufacturer was related to the recovery of losses incurred as a result of an incident at a third-party contract manufacturing facility that occurred in

[(2)] Acquisition-related and other costs primarily included transaction costs, purchase price fair value adjustments for inventory, certain compensation charges, and workforce rebalancing charges.

[(3)] Change in fair value of warrant liability relating to the quarterly remeasurement of warrants issued to certain customers is driven by changes in AMD's stock price and other valuation assumptions.

[(4)] Loss (income) from discontinued operations pertained to ZT Systems' manufacturing business which was divested in Q4'25 and included the impact from measurement period adjustments in Q1'26.